

1. The study of economics centres upon the problem of scarcity. Explain what is meant by this problem and assess whether the use of economics can solve the problem.
2. Explain the difference between Microeconomics and Macroeconomics. How are these two related? How different is positive economics from normative economics? Illustrate the difference by giving examples.
3. Read Part II or second part of the National budget and pay critical attention to the Macroeconomic objectives for the 2014 financial year. What Macroeconomic issues have been in the news lately? Define them.
4. What tools do Economists employ to learn about the real world? Define GDP and discuss the three measures of GDP.
 - (i) Income approach
 - (ii) Output approach
 - (iii) Expenditure approach
5. What is included and excluded in the measures of GDP? Distinguish GDP from GNP.